

THE GREENER SIDE

With emissions trading gathering steam and investment in cleaner technology becoming viable, companies are implementing eco-friendly systems of production

■ **By Nandini Vaish**

In 1995, when the sugar division of the GMR Group launched its distillery at Sankili, a village in the Srikakulam district of Andhra Pradesh, it had two options: to power its plant from the grid or generate it from biogas, one of its effluents. It chose the latter. Two years later, thanks to M. Prabhakar Rao, incharge of the Clean Development Mechanism (CDM) and Carbon Trading, GMR, the plant not only meets its power requirements, but has also sold carbon credits of Rs 3 crore to a global investment bank. This is excluding the Rs 2.5 crore the company has saved in the annual power bill. GMR's distillery uses molasses from its sugar plant to produce rectified spirit, extra-neutral alcohol and ethanol. Since the process generates methane, a potent green house gas, the company has set up a methane recovery project, which uses the gas to generate electricity. It also supplements biogas with rice-husk to conserve the fossil fuel.

Thanks to the Kyoto Protocol—the international pact that regulates green house gas emissions—carbon trading, which essentially means exchanging points earned by reducing emissions of certain harmful gases for money, has emerged as a huge opportunity for developing countries like India and China. The CDM programme permits companies from the industrialised world to offset their carbon emissions by investing in clean-energy projects elsewhere. One tonne of carbon dioxide (CO₂) is equivalent to one carbon emission reduction (CER) unit and its price ranges from €8 (Rs 458) for early-stage projects to €17 (Rs 973) for issued

units. This means that by registering their CDM projects with the United Nations Framework Convention on Climate Change (UNFCCC), not only can Indian companies make money from projects that are otherwise financially unviable, they can also hedge the risk from rising costs by developing alternative sources of power.

More and more companies are keen on developing a carbon strategy. The Delhi Metro Rail Corporation (DMRC) has kicked off a new trend by applying for carbon credits based on the shift from buses and cars to trains. Thanks to the Delhi Metro, 1,650 buses have gone off the road, reducing pollution levels by 30 per cent. DMRC, which is now developing a new methodology

for calculating CERS, hopes to generate five lakh CERS in a period of seven years. It also uses a regenerative braking system that reduces electricity consumption by using the braking energy of trains to generate electricity, which is then re-used.

The Indian Railways is eyeing carbon credits through

the use of light-weight coaches and wagons and solar-based lighting at crossings. "From focusing on how to monetise carbon from CDM projects, companies are now evolving their carbon reduction strategy," says Prashant Vikram Singh, executive director, PricewaterhouseCoopers

(PwC).

"Those who have had significant experience in CDM projects have already embedded carbon reduction strategy in their businesses."

Cement major Grasim Industries founded its CDM division in 2002 and identified potential areas where it could reduce CO₂ emissions. "We are targeting a reduction of one per cent in our CO₂ emission every year," says S.K. Maheshwari, the group's executive president and chief manufacturing officer. Thanks to its eco-friendly initiatives, the firm has made Rs 17 crore from two projects, while

282 CDM projects from India were registered this year, the largest number from any country, followed by China.

Graphic by RAM